

## Paccurate Deal Memo - TSVFII

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|                               |                                                     |
|-------------------------------|-----------------------------------------------------|
| <b>Company:</b>               | Paccurate ( <a href="#">website</a> )               |
| <b>Diligence Team:</b>        | Vasant Kamath, Matt Stevens, Jason Kuo, Hyundo Kwon |
| <b>Location:</b>              | New York, NY                                        |
| <b>Source:</b>                | LP/EIR                                              |
| <b>Fund &amp; Allocation:</b> | TSVFII, \$1.5M                                      |
| <b>Proposed Terms:</b>        | \$2.5M round at \$14M pre-money valuation           |

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### Company Overview

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Paccurate helps eCommerce brands optimize their packing processes and packaging inventory. Today, when an order is assembled at a fulfillment center (i.e. the items in the order are picked and gathered for shipment), a worker will typically pick a box that they think is suitable for the order. In many cases, those boxes may be inappropriately sized; Paccurate helps optimize this process by enabling those workers to select the right box for the order, taking into account the contents and fill required, every time. In addition, Paccurate's PacSimulate software helps companies optimize their packaging mix by analyzing order history and packaging data in order to determine the optimal sizes and quantities of boxes the company actually needs, and how much money (and emissions) they can save by implementing the suggested changes. In doing so, these brands are able to realize significant upstream and downstream cost savings in the form of reduced packaging and shipping/transportation costs.

### Company Vision

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Paccurate's vision is "spatial optimization", or optimizing any space. They started with packaging, given James' history and experience; and can move into broader logistics, as well as multiple other categories.

We believe there are multiple routes towards a massively scaled business.

- **Vertical packaging:** If Paccurate is able to strengthen its foothold in the packaging optimization space, they can partner with packaging manufacturers/distributors (or become a distributor themselves) to provide an end-to-end solution for brands to plan, monitor, and procure their packaging needs entirely through the Paccurate platform. This is a marketplace / network play - between packagers, distributors, and packaging companies. Given the Company is already working with distributors and has the ear of companies like Georgia-Pacific, we think this is an interesting play.
  - **Robotics:** As warehouses become more robot-enabled, Paccurate's API will serve as the infrastructure layer that powers the decision making processes

robots will ultimately have to encode in their software. Robotics is part of the broader network strategy above.

- **Spatial optimization:** Today, Paccurate excels in optimizing order-level packaging. However, their spatial optimization technology could also be applied across the entire supply chain, including pallet, cargo, truck/van, and even shelf-level optimization. This is something UPS has been interested in (for their planes, not their trucks), and could also be relevant to Delta (planes), Home Depot (stores/inventory - also Chick-fil-A and Inspire to a lesser extent), and others.

It's unclear which prong will be the most valuable/attainable at this point in time, but the company is exploring the viability of each through strategic channel partnership opportunities (more on this below).

## Deal History

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We met Paccurate after an introduction from Georgia-Pacific in early 2022. We spent a lot of time with James Malley then, but ultimately passed due to lack of traction and unclear market opportunity. The Company ultimately raised \$2.3M from SpringTime, Grand, and FirstMile Ventures. Since then, Paccurate has landed multiple mid-market and enterprise customers, and grew its pipeline significantly; in addition Matt Stevens, EIR at Tech Square Ventures, began mentoring James through Creative Destruction Labs program in Atlanta. We stayed in touch with the company through Matt, who told us that James was raising a few weeks ago. Since then we have been in heightened diligence, because it appears James will be getting term sheets from at least 2 others, including Eve Atlas.

## Deal Summary

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We anticipate investing \$1.5M as a lead of a \$2.5M round at a \$14M pre-money valuation. James had pegged a \$2.3M round, and Matt has said he thinks they will for a flattish round to their last raise (which was \$2.3M on an \$11M pre-money). As always we don't understand competitive dynamics, but we think we have an edge given the multiple personal relationships, the credibility Matt has built with James over the past year, and our corporate relationships (especially re: the Spatial Optimization strategy above). Our goal is to submit a term sheet to James early this week.

## Investment Thesis

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**Shippers are seeking economic efficiencies in hard shipping and materials costs rather than simply pushing this through to the consumer.**

- To fulfill cost-cutting mandates, warehouse/fulfillment teams have traditionally relied on pricing (via contract re-negotiation) as their primary mechanism of action. Paccurate creates meaningful cost-savings by simplifying the complexity of optimizing packing and packaging efficiency while providing full control to fulfillment managers. This is particularly relevant in a recession setting - the need to reduce costs is significant, Paccurate's software has helped its customers reduce shipping costs by as much as 15% while also reducing cardboard and filler costs by up to 14% and 24% respectively.

**Warehouses are filled with low-skilled, transient work forces. Further, the future of warehouse shipping is robot-enabled.**

- Paccurate enables the fulfillment workforce to optimize packaging decisions with zero thought, creating both upstream (packaging inventory) and downstream (package transportation) related cost savings. And as warehouses become increasingly robot-enabled, an API-based solution is an obvious product that will power the decision making capabilities of a robotic workforce.

**Incumbents in the WMS/shipping software ecosystem will not invest heavily in building out a robust cartonization solution; Paccurate's suite of tools will continue to provide compelling value above and beyond the basic tooling that might already be available.**

- Although most WMS systems have a basic cartonization solution, Paccurate is the only system that takes a “cost-aware” approach, combining unique business logic with real time carrier rate tables to affect a packing decision.
- Paccurate claims that Manhattan’s existing 3D cartonization solution hasn’t seen much traction and doesn’t support rules without significant custom development and cost.
- Paccurate has successfully built key partnership relationships (and direct integrations) with WMS systems like Deposco, providing further evidence that cartonization isn’t an area that most solutions providers are willing to invest heavily in.
- Paccurate's software drives real bottom line improvement instead of simply process optimization - this is something that almost none of the existing solutions on the market today are able to accomplish.

**ROI returned by Paccurate (shipping costs + materials avoidance) is strong and ongoing.**

- Dillard’s spends ~\$4.56M on shipping every month. Using Paccurate, they have been able to save \$220k *per month and on transportation costs alone* (not including packaging-related savings - Paccurate was also able to help Dillard’s reduce their packaging costs by approximately 27% per month. Relative to the cost of Paccurate (\$78k/year in this case), Dillard’s appears to have realized a 3-4x ROI on transportations costs alone.
- Crate & Barrel has realized ~\$2.7M in transport-related savings for just one distribution center, and is planning on rolling out Paccurate’s software to other warehouses and

fulfillment centers. Paccurate expects the value of C&B's contract to grow by 2.5x this year alone (from \$120k in ARR to \$312k).

- There is a continual ROI because of the ever evolving SKU's and infinite permutations of purchases. This is particularly relevant for larger retailers with diverse product catalogs who may need to consistently run simulations in order to determine their optimal packaging mix. In addition, as packaging moves from longer-term contracts towards on-demand/just in time, there will be an increased need for real time packaging optimization solutions like Paccurate.

### **ESG (and SCOPE-3) will be an increasing concern across e-Commerce brands.**

- ESG (Environmental, Social, and Governance) refers to a set of standards that measure a company's performance in terms of sustainability and social responsibility. SCOPE-3 emissions, on the other hand, are indirect greenhouse gas emissions that occur throughout a company's value chain, including emissions from suppliers, customers, and waste disposal. It is a broader measure of a company's carbon footprint beyond its direct operations. ESG and SCOPE-3 emissions have become increasingly important considerations for investors, consumers, and regulators. US companies are responding to these concerns by incorporating sustainability into their business strategies and reporting their ESG performance. Some companies are also setting ambitious targets to reduce their SCOPE-3 emissions by working with their suppliers and customers to reduce their carbon footprint across the entire value chain.
- Approximately half of the customers in the pipeline have ESG as a stated objective, although that has not traditionally been the company's first point of contact. Canadian Tire (a Paccurate customer) led the deal internally through their ESG group despite having multiple stakeholders at the table. Similarly, Crate & Barrel (another Paccurate customer), attributes a significant portion of Paccurate's success internally towards material waste reduction and a reduction in customer complaints. ESG seems to be top of mind despite Paccurate saving the company an estimated ~\$2.7M in transportation costs so far.

## **Key Risks**

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There are several factors that could impact the success and adoption of Paccurate's products, including:

- **Product sophistication:** The core algorithm that Paccurate employs is not particularly sophisticated; feedback from Chris Huff and the company itself confirm the same, creating some concern that the algorithm could be easily replicated. However, the software combines this algorithm with customer-defined business logic as well as pricing data in order to suggest an optimal packing scenario, complete with a 3D model of how to assemble the box.
- **Technology ecosystem:** Paccurate's products, particularly PacAPI, may face challenges in sales due to the need to integrate with existing WMS or shipping software,

which could slow down the sales process or become a blocker to implementation. Despite multiple products, the software may be seen as niche or a feature rather than a true platform. PacSimulate may also face some churn, although Paccurate believes that the constantly changing nature of SKUs and order sets makes this less likely.

- Paccurate has begun to offset this by building channel relationships with the WMS systems - namely Deposco (Atlanta-based, investment from UPS) and Manhattan (through Sendflex, another packaging tec company)
- **Ongoing ROI:** While PacSimulate has shown ROI on initial trial runs, there is a concern that prospects may not proceed with a purchase if they feel they have already gained enough value from the demo/trial. However, Paccurate believes that the ever-changing and infinite nature of SKUs and order sets means that the value of Paccurate's products will continue to be realized over time.
- **Macro headwinds:** A prolonged or double-dip recession, as well as ongoing global supply chain issues, could impact the retail and e-Commerce markets, and hence adoption related technologies. However, Paccurate argues that their products can offer cost savings ROI in a down market, and are aligned with ESG validation trends - and one of the very few products that can accomplish both.
  - A related risk is seasonality - both to eCommerce (heavily weighted towards Q4) and packaging contracts (many shippers sign annual contracts for their packaging, which could be a challenge to the sales cycle or predictable sales).

## Team

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### James Malley, Co-Founder and CEO

James is a self-proclaimed “containerization magnate” who has been working in the logistics industry since 2009 and has played a crucial role in developing several enterprise shipping technologies. James attended NYU and is responsible for sales and product.

Our perspective on James is that he is a steady performer who is both reliable, like-able, and committed to building a large, disruptive business in this space. He is neither a big personality nor a traditional sales CEO but has been in charge of it - with uneven success; but his plan is to hire a VP of Sales (has one on the goal-line) as soon as the round closes.

### Patrick Powers, Co-Founder and CTO

Patrick has 15+ years of software engineering experience and has worked in various fields, including application design, analytics, adtech, and medical research, where he developed computer vision models for cancer diagnosis with the Mayo Clinic. At Paccurate, he developed a breakthrough approach to the bin packing problem and architected the algorithm that utilizes it. Patrick works closely with James and has four other developers who report to him, occasionally functioning as sales engineers. Patrick attended UMass and graduated with a degree in Mechanical Engineering in 2004.

Chris Huff spent 45 minutes with Pat this week, and said he came across as competent and knowledgeable, and had built a tech stack that could scale. Product roadmap specifics and ability to manage developers was a question, however - one we plan to flesh out more.

Advisors to the Company include [Nick Costides](#), Former Global President of IT at UPS and [Scott Flanders](#), Former CEO, eHealth.

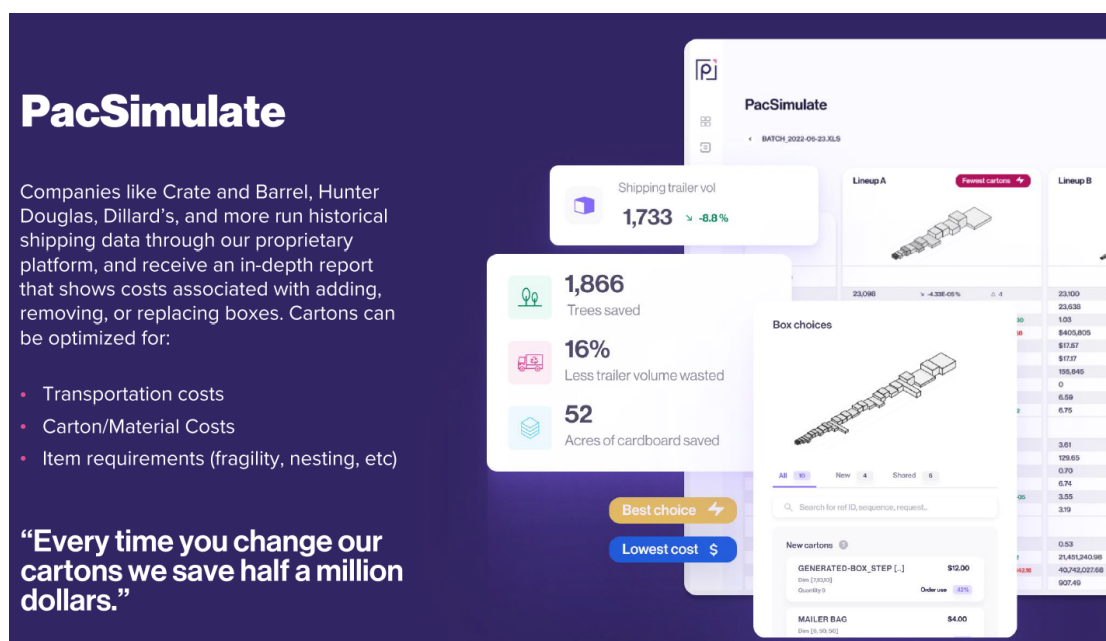
## Product

Paccurate has 2 main products in its portfolio:

### [PacSimulate](#)

PacSimulate analyzes recent customer shipping data to compare actual data and costs to Paccurate's optimized carton suggestions based on SKU and rate tables. The company considers PacSimulate as an effective lead-gen tool for PacAPI. Once a customer fills out a TypeForm, they are paired with an analyst that helps them through the process to understand the true cost-savings potential of implementing Paccurate. On average, customers see anywhere between 2-5% savings on transportation costs (which constitute the bulk of savings) and upwards of 10% on packaging costs alone. In addition, PacSimulate is particularly meaningful for ESG teams who are responsible for meeting reduced SCOPE-3 emissions targets related to materials and transportation.

PacSimulate allows customers to customize goals and simulate different scenarios, enabling retailers to optimize their packaging mix and quickly understand the impact on transportation costs.



## PacAPI

PacAPI is Paccurate's flagship product; PacAPI typically sits between a retailer's WMS and their fulfillment/shipping solution and houses all of the catalog and business logic (in addition to pricing and cost information) in order to help packers (or box-on-demand machines) make real time packing/package decisions. The API itself relies on a combination of several inputs in order to make a cost-optimal packing suggestion:

- **Available Boxes** - a company's packaging mx, this enables Paccurate's algorithm to understand the different types of boxes available
- **Product Information** - Paccurate needs to know detailed information about a specific product including its dimensions and any unique characteristics (fragile, stackable, rollable, etc.)
- **Business Rules** - Paccurate enables customers to define custom business rules such as delivery sequence, pick zones, etc.
- **Rate Table** - Paccurate's algorithm also takes into account negotiated rates, box costs, etc. in order to make a suggestion

When an order is created, data flows through several systems:

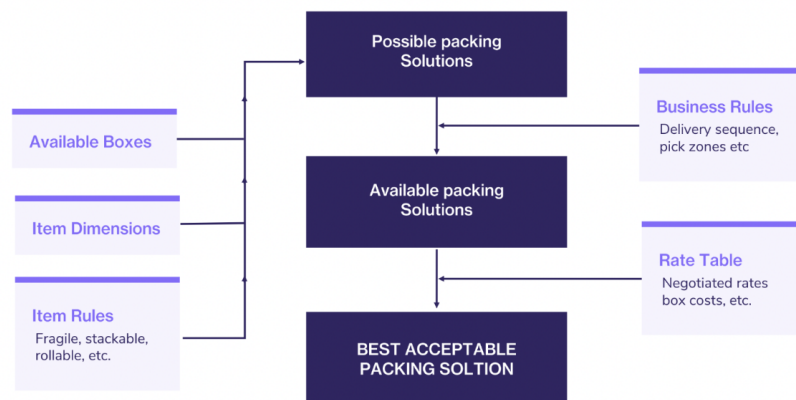
1. **WMS / OMS** - the order details flow from the shipper's system of record to Paccurate
2. **PacAPI** - analyzes the details of the order against business rules and rate tables, PacAPI then returns a cost-optimal packing suggestion with 3D packing instructions (box size, orientation, fill, etc.)
3. **Fulfillment** - the suggestion then flows into a separate shipping/fulfillment system for a packer to pick the right materials or to a box-on-demand machine to cut the right boxes

## PacAPI

Paccurate can be accessed anywhere via a single, stateless API endpoint. All relevant information is sent in the request, and packing instructions are returned in the response. Response times average ~0.02 seconds per item packed.

An effective algorithm should be driven by cost first. "Cubic Volume" is *not* the best indicator of lowest cost.

**Paccurate optimizes for cost directly, instantly and in real time.**





# Product Roadmap

## Near Term Priorities - “PacOps”

Over the past several months, the company has been working hard on the PacSimulate product which has helped them considerably increase their sales cycle momentum. Over the next several months, the Paccurate team will work on creating a self-serve platform (“PacOps”) which will take the form of GUI for customers to configure business rules and monitor their packing operations (similar to Stripe, which is for 2024). James and Patrick believe this is important for two main reasons:

- **Accelerate implementation process:** PacOps (most of 2023) will include a low-code interface in addition to intuitive tooling. This will help simplify some of the more technical steps involved in the implementation process and will shorten a customer’s time to value. In addition, this will also improve the scalability of the product itself by removing much of the load on the company’s own engineering team (who often function as sales engineering during customer onboarding).
- **Remove sales cycle friction:** the company also believes that PacOps will help reduce sales cycle friction as it will provide a tangible product for key decision makers (who may not be day to day users) to see/touch/feel post-sale.

PACCURATE

## Product Roadmap

### Focus to date (drive sales and usage):

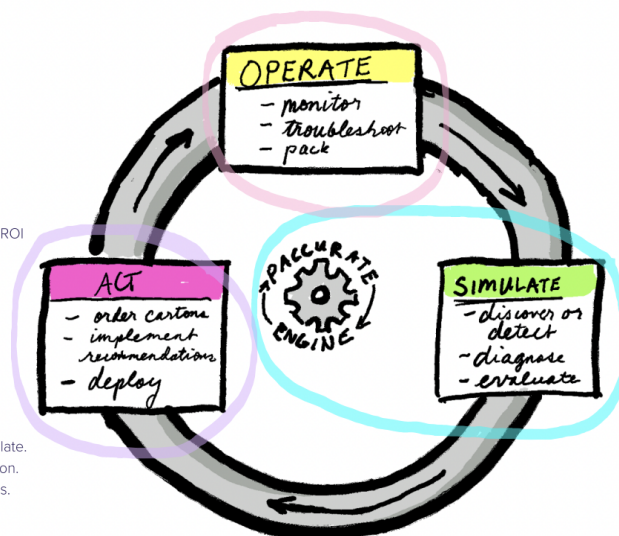
- Paccurate Engine drives mission critical use in fulfillment processes
- Simulate drives adoption by discovering and continuously validating customer ROI

### Focus through end of 2023 (speed onboarding):

- Self-serve platform for customers to configure and monitor their packing.
- Demystifies and simplifies implementations with low-code, intuitive tools.

### Focus for 2024 (close the loop, retain):

- Ability to act through the platform on insights discovered and validated in Simulate.
- Automatically send out a PO for better box sizes and monitor their introduction.
- Apply the most effective candidate from a set of proposed new packing rules.



## Long Term Priorities

Long term, the company has several options it will consider as part of the product roadmap; these are discussed in more detail in the “Company Vision” section above. James and Patrick believe the company could become a verticalized packaging solution that enables customers to optimize packaging mix / packing processes and order new materials completely within the Paccurate ecosystem. In this respect, the company would effectively become a packaging



distributor themselves. It is unclear which of the 3 routes is the most viable or attractive but the team is open to discussion and will continue to execute in their customers' best interests.

## Market & Market Research

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### Market Overview

Paccurate primarily sells into retailers with significant eCommerce operations. Though the company has several smaller retailers as customers, the company is focused on acquiring large players in the eCommerce market such as Crate & Barrel (\$1.6B revenue), Dillard's (\$7.0B revenue), and Parts Authority (\$0.8B revenue) - these are currently the 3 largest customers in the company's customer base. In the US eCommerce market, a "large player" is typically characterized by several key factors, including revenue, footprint, number of products (SKUs).

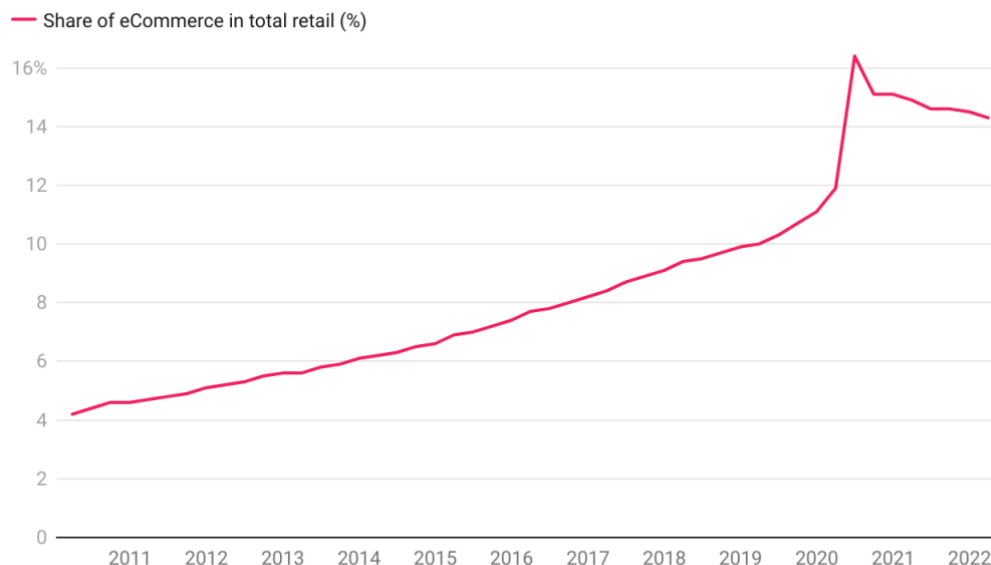
Overall, large players in the US eCommerce market have significant scale, reach, and resources. The top 10 largest players in the US eCommerce market account for 61% combined, of which Amazon represents 39.7% alone. The Home Depot occupies the #5 spot at 1.6% market share, closely followed by other retailers such as Best Buy, Wayfair, Target, Macy's, and Costco.

The remaining 39% of the market is made up of many smaller players and niche eCommerce sites, which operate in a highly competitive landscape. Companies selling mid-margin goods in this space typically allocate 3-4% of their budget towards packaging while high-margin/premium retailers tend to allocate 5% or more on packaging.

### Market Dynamics

The US eCommerce packaging industry has experienced significant growth in recent years, driven primarily by the increased popularity of eCommerce, notably online shopping and home delivery services. The COVID-19 pandemic accelerated this growth; however, eCommerce levels have started to revert to pre-pandemic levels.

## Proportion of eCommerce in total retail sales



*Adjusted values; Revised census data; 2022 Q1 data included*

Chart: PipeCandy Inc., • Source: U.S. Census Bureau • Created with Datawrapper

There are several major packaging manufacturers and distributors in the US eCommerce industry, including Georgia Pacific, International Paper, Sealed Air, and Amcor. Georgia Pacific and International Paper are primarily manufacturers of packaging materials and products, while Sealed Air is both a manufacturer and distributor of packaging solutions. Amcor is a packaging manufacturer with a focus on sustainability, offering a range of packaging products made from recyclable materials. By partnering with these manufacturers and distributors, Paccurate can provide valuable demand-side data and can offer an innovative, differentiated solution for a highly competitive and commoditized industry.

In addition to packaging manufacturers and distributors, there are several major shippers in the US eCommerce industry, including UPS, FedEx, and USPS. These companies provide logistics and transportation services that are essential for the eCommerce industry, ensuring that packages are delivered on time and in good condition. Paccurate leverages important pricing data from each of these companies to help its customers optimize their packing processes in real time.

Finally, there are several major solutions providers in the US eCommerce industry that offer warehouse management systems, order management systems, and other supply chain software solutions. Some of the important players in this space (relative to Paccurate) include Manhattan Associates, Blue Yonder, and Deposco. These companies provide a range of software solutions that help eCommerce businesses manage their supply chains more efficiently and effectively, from order processing to inventory management to shipping and fulfillment. To help reduce sales cycle friction, Paccurate will invest heavily in building integrations into these systems.

## Market Research

We spoke with Nick Costides, former President of IT of UPS, who is an advisor to the Company (and who made the introduction to UPS). He said UPS saw a lot of need for this product and was particularly excited about leveraging Paccurate's solution to help with spatial optimization needs within their air cargo business. He believes the technology and immediate ROI of PacSimulate is very unique in this industry, and that UPS customers have been asking for this technology, to save on costs - so UPS has a good chance of being a reseller within its UPS Solutions group. We asked UPS was not as interested 18 months ago, and he attributed it to UPS being in cost cutting mode then, vs. innovation and technology adoption (this is a point echoed by Justin Jones, from the Strategy team). Finally, Nick was excited about Paccurate's WMS integrations, particularly Deposco, whom UPS is invested in - another potential distribution point for Paccurate, and which also aids in implementation/onboarding.

## Bottoms-Up Market Size

We estimate the market size for Paccurate to be approximately \$1.27B across retailers and 3PL logistics companies.

| Large Retailers                    |           | Small/Med. Retailers |         | 3PL                 |          |
|------------------------------------|-----------|----------------------|---------|---------------------|----------|
| Est. ACV                           | \$200,000 | Est. ACV             | \$7,000 | Est. ACV            | \$10,000 |
| <a href="#">Est. #<sup>1</sup></a> | 1,507     | Est. # <sup>2</sup>  | 137,226 | Est. # <sup>3</sup> | 995      |
| Market Size                        | \$301M    | Market Size          | \$960M  | Market Size         | \$10M    |

1: E-Commerce Companies Estimated Revenue range 500M - 10B+

2: Non-Store, General Merchandise, Office Supplies

3: NAICS Code 541614 - Process, Physical Distribution, and Logistics Consulting Services Estimated Revenue Ranges 100M - 10B+

## Top-Down Market Size

- Paccurate focuses on empty space reduction and packaging cost reduction, which can potentially save \$30BN logistics cost in the US and \$46BN globally. We believe an estimated \$35.7Bn - \$47.3Bn annually is spent on eCommerce packaging.
- The largest WMS players (Blue Yonder, Manhattan Associates, NetSuite, E2Open) have combined revenue of \$3B, as a proxy for this market

# Competitors

## Competitive Dynamics

Companies operating in the cartonization market provide customized carton recommendations based on the dimensions and SKUs of the items to be shipped. Paccurate differentiates itself by optimizing cost for dimensional weight and zone directly, while providing carton suggestions based on SKU and rate tables. Using actual shipping data and cost comparisons, Paccurate analyzes recent customer shipping trends to further enhance its service. The competitors below tend to be older, slower moving and more services oriented than Paccurate, without API or simulation technologies.

|                          |  |  |  |  |  |  |
|--------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Location / Year          | NY, 2018                                                                          | Belgium, 2021                                                                     | Vancouver, 1995                                                                   | Wisconsin, 1995                                                                    | Texas, 2003                                                                         | Texas, 1990                                                                         |
| Cartonization            | ✓                                                                                 | ✓                                                                                 | ✓                                                                                 | ✓                                                                                  | ✓                                                                                   | ✓                                                                                   |
| API Service              | ✓                                                                                 | ✗                                                                                 | ✓                                                                                 | ✗                                                                                  | ✗                                                                                   | ✗                                                                                   |
| Optimize Downstream Cost | ✓                                                                                 | ✓                                                                                 | ✗                                                                                 | ✗                                                                                  | ✓                                                                                   | ✗                                                                                   |
| Scenario Simulation      | ✓                                                                                 | ✗                                                                                 | ✗                                                                                 | ✗                                                                                  | ✗                                                                                   | ✗                                                                                   |

## Optioryx

Optioryx is a Belgian logistics company that offers cartonization, box assortment optimization, and mobile dimensioning services with analysis features through APIs. It was founded in 2021 and has a more focused approach on pick and pack and route optimization. Optioryx raised \$107K in a Seed Round led by Imec.istart (May-22).

## OSCO

OSCO provides automatic selection of the most cost-effective shipping box per order to reduce shipping, labor, and material costs. It also generates detailed pick and pack instructions and accurate shipping rate quotes at the time of order placement. OSCO supports specific business rules for box selection and item placement, such as max weight per carton, loading orientation, nesting/stacking, and hazmat, as part of the carton selection process.

## TOPS Software

TOPS Software optimizes packaging design and determines the best carton or shipcase size. With TOPS Pro, users can decide on a new shipcase size based on the dimensions and quantity of products, determine the best arrangement and quantity of products inside an existing shipcase, and find the optimal shipcase to use among existing stock boxes using their Database function. Their interactive carton sizer software automatically adjusts the size of a shipcase or intermediate carton when its contents are modified, and the program resizes the carton automatically when the primary pack is moved to a new location that requires a bigger shipcase.

### **Webster Cartonization Software**

Webster Cartonization Software has an innovative, proprietary cartonization algorithm that automatically selects the optimal packaging based on dimensions, weight, fragility, and other factors using your business rules regarding SKUs, cartons, and order data. It supports outer and inner cartonization logic to sustain gift boxing, outer shipment cartons, and pallet configuration, and container-type coding allows for specific, customized actions such as gift boxing, special shipment boxes, hazmat, and pallets. Webster Cartonization Software can be customized for envelopes, boxes, cartons, and/or pallets, and can be configured to operate with any system that uses the industry standard of XML for data transfer and XSD for validation.

### **MagicLogic Optimization Inc**

MagicLogic Optimization Inc.'s Cube IQ provides software for every type of load planning, cartonization, and palletization based on 25 years of R&D. All software is developed in-house using powerful algorithms capable of meeting the most complex loading rules and requirements. Cube-IQ is MagicLogic's state-of-the-art load optimization program, covering more operational requirements than any other software.

## **Go to Market & Traction**

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### **Go to Market Strategy**

Paccurate has two GTM motions today: direct sales and channel partnerships. Direct sales efforts are primarily executed through cold emails and targeted ads (minimal ad spend to date) and have proven to be quite successful with fulfillment teams looking to manage supply chain costs related to packaging and fulfillment. Direct sales efforts have brought in all, if not substantially all the sales and customers that Paccurate has today. Since the launch of PacSimulate (Sep-22), the company has been able to increase pipeline momentum and close several larger customers. From Q1-22 to Q1-23, the company has increased its pipeline by 492% while also decreasing its sales cycle length by close to 40%.

Channel partnerships are also an important (emerging) strategy; James and key advisors have helped build channel traction through 4 main pillars:

- **Alliances:** includes companies like Georgia Pacific and International Paper in addition to shipping solutions providers such as EasyPost and ProShip. These companies are typically highly commoditized industries with strong incentives for differentiation. ESG and PacSimulate are helpful tools in this space.
- **Resellers:** includes companies like FedEx and UPS. These companies have significant credibility into large D2C shippers and often have Solutions Engineering teams that help shippers optimize their fulfillment technology and processes. As an example, UPS has helped the company build integrations into Deposco, a WMS that is heavily pushed into the UPS Solutions Engineering client base.
- **Integrations:** includes companies like Deposco and SendFlex (James' father's company). These integrations have helped open doors into larger supply chain software and services companies like Manhattan Associates and IBM. The company will invest heavily in this area as it believes integrations are key to accelerating the sales and implementation cycles for M/L customers.
- **Upstream Cartonization:** from a spatial optimization perspective, the company has also generated interest from robotics solutions providers like AutoStore and Locus Robotics. These com

### Customers & Traction

Paccurate charges its customer by monthly subscription and pro services for use of the Paccurate API for cartonization and shipping advice. For PacSimulate, it charges one time for 12 Month Access. There is additional fee when a customer request for over a certain number of shipping advices.

Example)

| Monthly Shipping Advices over 5,000 | Fee Per Shipping Advice |
|-------------------------------------|-------------------------|
| 0-8,300                             | Included                |
| 8,301 – 50,000                      | \$0.03                  |
| 50,001-1,000,000                    | \$0.025                 |
| 1,000,001+                          | \$0.018                 |

## Revenue model

1% of shipping spend, by way of tiered pricing

|              | Base Price | Parcel                                       | PacSimulate                                             |
|--------------|------------|----------------------------------------------|---------------------------------------------------------|
| Startup      | \$99/mo    | 2,500/mo included<br>6 cents per thereafter  | \$9k/year*                                              |
| Professional | \$999/mo   | 20,000/mo included<br>4 cents per thereafter | \$8k/year*                                              |
| Enterprise   | \$4,999/mo | 125k/mo included<br>3 cents per thereafter   | PacSim Basic<br>Included, \$7k/year<br>each add'l model |

\*For each PacSim simulation model

### FUN FACT

For every \$1 we spend on hosting, we deliver **\$20,000** of measurable value to our customers.

### REVENUE GROWTH DRIVERS

- Carrier partnerships
- Software partnerships
- Packaging partnerships
- Parcel brokerage
- Load and unload
- Robotics hardware toolkit

## Ideal Customer Profile

- **Large Retailers** - major retailers that have a strong eCommerce presence typically allocate around 25% of a product's retail price towards packaging, including materials, shipping, and freight expenses. Paccurate can help these retailers reduce their shipping costs by 15%, cut material expenses by 14%, and lower filler costs by 24%. This makes Paccurate an attractive option for large retailers looking to optimize their business processes.
- **3PL Companies** - Third party logistics (3PL) businesses prioritize cost-saving measures and rely heavily on efficient inventory management, packing, and shipping processes. Precise calculation of dimensional weight is critical for determining shipping rates, and utilizing appropriate packing materials is equally important. To streamline these processes and optimize both dimensional weight and packing materials, 3PL companies can benefit from utilizing Paccurate.

## Customer Snapshot

| Customer Name        | Revenue        | Description                           | ACV                                          |
|----------------------|----------------|---------------------------------------|----------------------------------------------|
| Parts Authority, LLC | \$802 Million  | Automotive/truck parts distributor    | \$189,000                                    |
| Crate and Barrel     | \$1.6 Billion  | Furniture and home décor retail store | \$120,000 (just for one distribution center) |
| Dillards             | \$6.34 Billion | Department store chain                | \$78,000                                     |



|                |                |                                           |          |
|----------------|----------------|-------------------------------------------|----------|
| QBP            | \$500 Million  | Bicycle parts and accessories distributor | \$65,160 |
| Jet Pack       | \$14.3 Million | Fulfillment center                        | \$42,840 |
| Brock Supply   | \$21.7 Million | Auto parts aftermarket wholesaler         | \$26,580 |
| Integra Beauty | \$40.9 Million | Apparel & Fashion retailer                | \$18,000 |

## Company Milestones & Financial Projections

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### Revenue Quality and Projections

Over the past year, the company has grown its CARR by approximately 3x year over year, from \$240k in Mar-22 to over \$740k in Mar-23. Growth can be primarily attributed to signing larger customers including Parts Authority (\$15.8k MRR, Oct-22), QBP (\$5.4k, Oct-22), and Jet Pack (\$3.6k, Jan-23), accounting for close to \$300k in new ARR alone. Of note, the release of PacSimulate (Sep-22) seems to have helped close larger customers and drive increased pipeline momentum.

The company currently has 37 paying customers and approximately \$762k of ARR. Although there are 37 customers, there is significant customer concentration; the T10 largest customers comprise 87.9% of Contracted ARR. Paccurate projects that they will achieve ~\$1.9M of ARR by October of this year, approximately 2.5x their current revenue (in <6 months). In 2024, they project hitting \$2.1M by mid-year and closing out the year at \$2.6M in ARR.

To achieve this growth, the company will invest in the following areas:

- **Channel Partnerships:** the company anticipates a channel partnerships manager to lead business development efforts with key strategic partners.
- **Sales & Marketing:** the company anticipates hiring a VP of Sales to lead direct sales efforts in addition to another BDR who will help support. In addition, the company plans to hire a CMO to bring outsourced marketing efforts in house. By end of year, the company will also add another Sales Engineer to help support the pre/post-sales process.

In addition, the company plans to build additional traction with 3PL customers who have complex packaging workflows and experience high order volume and high SKU variety. They are in final stages with their first 3PL customer Outerspace who should come online by June of this year.

### Pipeline

Paccurate currently has approximately \$880k (weighted) in later stages of its pipeline. This stage includes several major retailers including Foot Locker, GameStop, Petco, Wolverine, and QVC. Of these opportunities, 4 (Petco, GameStop, Outerspace, and Footlocker) comprise

approximately \$69.5k in MRR (~\$840k ARR). If the company is able to successfully close those opportunities, it would close out the year at ~\$1.5M in ARR, approximately 2.5x where it was at the beginning of the year. However, it is likely that many of these opportunities will not be closed at their target deal size and will ramp up as Paccurate is rolled out into different fulfillment centers.

### Pipeline Snapshot – 5/2/2023 Funnel prospects and sources, MRR estimates

#### Top of Funnel

(One meeting recently, Sponsor not identified yet, non-exhaustive)

Walmart  
Colgate-Palmolive  
TJX  
Unilever  
Japanpost  
Covetrus  
HUT group  
American Greetings (\$24k)  
Priefert (\$1.5k)

#### Sponsor Access

(Pushing toward analysis)

Five Below  
Honeywell  
Taylormade  
Lowes (PacSim only)  
AAFES  
Atomix  
Neovia  
Taylormade  
Diggs  
IDEXX Labs  
Fanatics  
MatchesFashion  
SpiralBinding  
Ship Essential  
PlanetArt

#### ROI Analysis

Stord (\$2k+)  
GameStop (\$35k)  
Medline (\$5k)  
Foot Locker (\$100k+)  
Petco (\$10k+)  
QVC (\$25k+)  
Canadian Tire (\$10k)  
Melissa & Doug (\$4k)  
Sainsbury's (\$10k)  
New Pig  
Shipnetwork (\$14k)  
Waytek  
WBC Group/Boxout (\$4k)  
Wolverine Worldwide (\$25k)  
Foundry Brands (\$500)  
TOTAL: \$2.934MM ARR  
**Weighted 30%: \$880k ARR**

#### Verbal Approval

Vive Health (\$1k)  
McLane (\$2k - \$30k)  
(usage-based)

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## Burn

The company is currently burning approximately \$140k/month (net). The majority of the expenses are development costs and sales & marketing expenses which are burning \$76k and \$63k respectively. A \$2.5M investment with \$315k of cash remaining suggests a runway of 20 months assuming no new employees or revenue. Post-investment, the company anticipates building out its sales and marketing capacity by making several key hires:

| Role                                | Timing   | Burn (per month) |
|-------------------------------------|----------|------------------|
| VP of Sales                         | Aug 2023 | +\$14,375        |
| Chief Marketing Officer             | Aug 2023 | +\$14,375        |
| Business Development Representative | Aug 2023 | +\$7,667         |
| Head of Partnerships                | Sep 2023 | +\$14,375        |
| Sales Representative                | Oct 2023 | +\$11,500        |
| <b>Total</b>                        |          | <b>+\$62,292</b> |

By end of year, the company anticipates increasing gross burn from approximately \$180k today to ~\$320k.

| Expenses (monthly) | May 2023 | Dec 2023 | Variance          |
|--------------------|----------|----------|-------------------|
| Direct             | \$17.4k  | \$21.5k  | \$4.1k, +23.6%    |
| Development        | \$75.6k  | \$102.8k | \$27.2k, +36.0%   |
| Sales & Marketing  | \$53.8k  | \$154.4k | \$100.6k, +187.0% |
| Tech & Software    | \$4.1k   | \$6.1k   | \$2.0k, +50.0%    |
| Operating          | \$32.4k  | \$57.2k  | \$24.8k, +76.5%   |

## Valuation

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## Appendix

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- [Pitch Deck - Spring 2023](#)
- [GTM Deck](#)
- [Product Roadmap Deck](#)
- [Financial Model](#)
- [Customer List \(w/MRR\)](#)
- Cap Table